

16 Aug 2026 19:20:33 ET | 17 pages

Shengyi Technology (600183.SS)

Raise TP to Rmb205 for Better-than-expected 2Q26 GM for AI-CCL

CITI'S TAKE

Shengyi printed 1H26 net profit of Rmb3.287bn, surging 130.4% yoy which is at high-end of Rmb3.1-3.3bn stated in preliminary 1H26 results thanks to better mix shift towards AI-CCL and AI-PCB. As such, we revised up earnings estimates by 21-22% during 2026-28E for lifting up GM assumption particularly for CCL thanks to favourable mix towards AI-CCL. TP is also upgraded to Rmb205 but based on a lower PE target of 48x for 2027E at +2SD (**Fig 4**) from prior 56x PE at +3SD to reflect recent market growing cautious about the sustainability of AI capex growth amongst major AI hyperscalers and circular financing by NVDA. **Reiterate Buy** as the stock has retreated by 25%+ from its mid-June peak. We prefer **Shengyi > Shennan** on upstream AI-CCL / substrate supply chain on A-share market.

2H26 Outlook and Beyond – We expect Shengyi will continue to shift better mix into AI-CCL which will account for ~20% of total vol in end-2026 from ~15% in mid-2026 and only 10% in 2025. This is mainly based on its continued share win on NVDA. We expect its wallet share will keep escalating from a single digit in GB200, teen in GB300 and will likely exceed 20% in next generation Vera Rubin. This should be underpinned by Shengyi's stronger technology leadership and various solution of high-frequency CCLs. However, management remains cautious about ongoing challenges and uncertainties, including US-China geopolitical tensions related to AI development and fluctuations in global supply chain. To capture future market growth, Shengyi plans to anchor its strategy on high-end markets, optimize its product portfolio, and deepen its focus on emerging sectors like AI servers, data center switches, and autonomous driving. The company will also advance its AI-driven digital transformation internally to improve operational efficiency and offset external cost pressures.

Capacity Expansion Plan – To support its long-term growth and rapidly increasing AI-driven demand, Shengyi has laid out significant capacity expansion initiatives across multiple key regions. Internationally, construction on the Thailand production base is progressing steadily, with trial production anticipated in 2H26. Domestically, the Jiangxi Shengyi Phase II project reached full production during 1H26, adding an annual capacity of 18 million sqm of CCL (>10% of current capacity) and 34m meter of commercial prepreg. (...continued below)

Earnings Summary

Year to	Net Profit	Diluted EPS	EPS growth	P/E	P/B	ROE	Yield
31 Dec	(RmbM)	(Rmb)	(%)	(x)	(x)	(%)	(%)
2024A	1,739	0.730	49.0	196.2	22.6	12.0	0.4
2025A	3,252	1.346	84.4	106.4	20.5	20.6	0.8
2026E	7,144	2.941	118.5	48.7	18.8	40.6	1.5
2027E	10,285	4.234	44.0	33.8	16.5	52.0	2.2
2028E	12,335	5.078	19.9	28.2	14.4	54.5	2.7

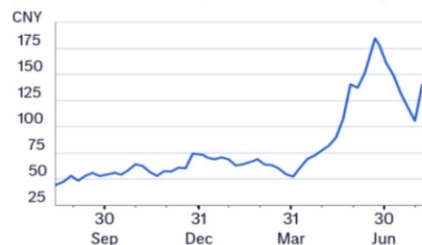
Source: Powered by dataCentral

Buy

Price (14 Aug 26 15:00)	Rmb143.210
Target price	Rmb205.000↑
	from Rmb195.000
Expected share price return	43.1%
Expected dividend yield	1.5%
Expected total return	44.7%
Market Cap	Rmb347,858M
	US\$51,598M

Price Performance

(RIC: 600183.SS, BB: 600183 CH)



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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

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600183.SS: Fiscal year end 31-Dec						Price: Rmb143.210; TP: Rmb205.000; Market Cap: Rmb347,858m; Recomm: Buy					
Profit & Loss (Rmbm)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	20,388	28,431	48,164	64,503	76,949	PE (x)	na	na	48.7	33.8	28.2
Cost of sales	-15,895	-20,905	-33,423	-43,771	-51,957	PB (x)	22.6	20.5	18.8	16.5	14.4
Gross profit	4,493	7,526	14,742	20,732	24,993	EV/EBITDA (x)	na	67.7	34.5	24.0	20.0
Gross Margin (%)	22.0	26.5	30.6	32.1	32.5	FCF yield (%)	0.2	0.8	1.3	0.5	1.3
EBITDA (Adj)	2,835	5,181	10,205	14,858	18,218	Dividend yield (%)	0.4	0.8	1.5	2.2	2.7
EBITDA Margin (Adj) (%)	13.9	18.2	21.2	23.0	23.7	Payout ratio (%)	82	89	75	75	75
Depreciation	-837	-881	-1,021	-1,280	-1,605	ROE (%)	12.0	20.6	40.6	52.0	54.5
Amortisation	0	0	0	0	0	Cashflow (Rmbm)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	1,998	4,300	9,184	13,579	16,613	EBITDA	2,835	5,181	10,205	14,858	18,218
EBIT Margin (Adj) (%)	9.8	15.1	19.1	21.1	21.6	Working capital	-1,818	992	-350	-5,870	-4,738
Net interest	-70	-97	-144	-277	-492	Other	440	-981	-1,247	-1,881	-2,437
Associates	55	82	82	82	82	Operating cashflow	1,456	5,191	8,608	7,108	11,042
Non-Op/Except/Other Adj	85	49	144	161	179	Capex	-926	-2,376	-4,160	-5,539	-6,594
Pre-tax profit	2,068	4,334	9,266	13,544	16,382	Net acq/disposals	-18	-577	0	0	0
Tax	-200	-524	-1,100	-1,595	-1,929	Other	10	20	0	0	0
Extraord./Min.Int./Pref.div.	-129	-558	-1,021	-1,665	-2,118	Investing cashflow	-934	-2,933	-4,160	-5,539	-6,594
Reported net profit	1,739	3,252	7,144	10,285	12,335	Dividends paid	-1,192	-2,727	-5,358	-7,714	-9,251
Net Margin (%)	8.5	11.4	14.8	15.9	16.0	Financing cashflow	-1,276	-2,616	-3,358	-3,214	-3,251
Core NPAT	1,739	3,252	7,144	10,285	12,335	Net change in cash	-752	-355	1,089	-1,645	1,198
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	530	2,816	4,448	1,569	4,449
Reported EPS (Rmb)	0.730	1.346	2.941	4.234	5.078						
Core EPS (Rmb)	0.730	1.346	2.941	4.234	5.078						
DPS (Rmb)	0.600	1.200	2.206	3.175	3.808						
CFPS (Rmb)	0.611	2.149	3.543	2.926	4.546						
FCFPS (Rmb)	0.223	1.165	1.831	0.646	1.831						
BVPS (Rmb)	6.344	6.972	7.620	8.678	9.948						
Wtd avg ord shares (m)	2,350	2,399	2,429	2,429	2,429						
Wtd avg diluted shares (m)	2,382	2,416	2,429	2,429	2,429						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	22.9	39.4	69.4	33.9	19.3						
EBIT (Adj) (%)	54.8	115.2	113.6	47.9	22.3						
Core NPAT (%)	49.4	87.0	119.7	44.0	19.9						
Core EPS (%)	49.0	84.4	118.5	44.0	19.9						
Balance Sheet (Rmbm)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	2,016	1,744	2,820	1,176	2,374						
Accounts receivables	8,938	10,829	16,990	24,991	31,376						
Inventory	5,119	5,786	5,209	7,402	9,179						
Net fixed & other tangibles	9,716	11,949	15,101	19,360	24,349						
Goodwill & intangibles	626	620	620	620	620						
Financial & other assets	1,228	1,842	2,261	2,673	3,073						
Total assets	27,643	32,770	43,002	56,222	70,971						
Accounts payable	3,423	7,222	11,546	15,121	17,949						
Short-term debt	2,994	2,743	4,743	7,743	11,243						
Long-term debt	558	903	903	2,403	4,903						
Provisions & other liab	4,164	2,992	4,092	5,002	5,721						
Total liabilities	11,138	13,859	21,284	30,269	39,816						
Shareholders' equity	14,905	16,724	18,510	21,081	24,164						
Minority interests	1,600	2,187	3,208	4,873	6,991						
Total equity	16,505	18,910	21,718	25,953	31,155						
Net debt (Adj)	1,536	1,902	2,825	8,970	13,772						
Net debt to equity (Adj) (%)	9.3	10.1	13.0	34.6	44.2						

For definitions of the items in this table, please click [here](#).

Capacity expansion by 50% to 15m sheets in 2029E – Furthermore, the company initiated the "High-Performance CCL Project" in Dongguan (headquarter) with an estimated total investment of approx. Rmb5.2bn, spanning two phases and targeting a future annual capacity of 48m sqm of high-end base materials tailored for high-speed, automotive, and packaging applications. All in all, Shengyi inclines to increase monthly capacity by ~50% to 15m sheets (or annual capacity 216m sqm) in 2029E from 2026E.

Gross Margin Outlook on CCL and PCB Business – The GM profile for both the CCL and PCB businesses is poised for structural enhancement through 2026–28, propelled by an industry-wide shift toward high-end specifications and "volume-and-price-rise" dynamics. In 1H26, its CCL segmental GM expanded by 5.5% pt to 29.2% which is an all-time high. See **Fig 3** for sustained GM uptrend of CCL segment thru 2028E. On the other hand, the PCB segment—via ~60%-owned subsidiary **Shengyi Electronics (688183.SS)**—reached a GM of 31.2%, raised by 3.4% pt year-over-year. Amid a backdrop of rising upstream raw material costs, the company successfully adjusted its pricing strategies to balance customer relationships and cost pressures. The continuous upward migration of the product mix is expected to sustain resilient gross margin performance moving through 2028E.

PCB segment also benefits from AWS – Shengyi Electronic, the PCB subsidiary of Shengyi Tech, grew rev 53.5% yoy to Rmb5.784bn and delivered net profit of Rmb1.111bn. The PCB segment GM of 31.20%, was up by +3.4% pt yoy, which is higher than core CCL segment of 29.2%. The PCB segment also benefits from AI-PCB demand mainly from AWS (by Amazon). We expect Shengyi Electronic will likely gain new customers from ASIC going forward.

No interim DPS while capex steps up – The board proposed no interim distribution, against Rmb0.40/share declared with the 1H25 interim report, and the 2025 payout ran ~87%. Investing outflow widened to Rmb3.322bn from Rmb988m a year ago on higher capex for building new facilities on AI-CCL and other advanced HDI for auto and telecoms.

Figure 1. Shengyi Tech - quarterly P&L trend including 2Q26

Quarterly P&L (Rmb mn)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Revenue	4,423	5,206	5,115	5,644	5,611	7,069	7,934	7,818	8,141	10,884
COGS	3,481	4,072	3,945	4,397	4,231	5,170	5,701	5,802	5,854	7,333
Gross profit	942	1,134	1,170	1,247	1,380	1,898	2,233	2,015	2,288	3,552
Business tax	23	29	28	43	27	38	33	53	41	50
Selling expense	82	89	96	105	117	145	140	135	135	174
Administrative expense	393	437	557	612	538	636	644	720	671	894
Operating profit	443	579	489	487	699	1,079	1,416	1,107	1,441	2,434
Finance expense	17	15	28	11	14	19	33	31	38	35
Other gain	36	65	48	57	49	71	40	82	54	63
Investment income	10	9	20	15	14	20	20	89	9	24
Fair value change gain	(1)	2	17	(20)	(6)	6	6	10	79	331
Asset impairment loss	17	(37)	(20)	(74)	(23)	(32)	(51)	(55)	(14)	(116)
Asset disposal gain	0	0	(0)	0	(0)	(3)	(5)	(2)	(0)	(11)
Others (plug: adjusted OP items vs reported OP)				-			(65)	(62)	(77)	(71)
Reported operating profit	455	637	566	415	719	1,123	1,393	1,199	1,531	2,689
non-operating income	0	0	0	1	0	2	1	2	3	0
non-operating expense	1	1	1	(9)	(0)	3	3	16	3	(1)
Profit before tax	454	636	566	412	719	1,127	1,391	1,184	1,530	2,691
Tax expense	51	62	54	34	84	134	150	156	198	305
MI	12	34	33	51	71	125	224	138	174	257
Net profit	392	540	440	366	564	868	1,017	891	1,158	2,129
YoY change	58.2%	75.9%	27.8%	38.2%	43.8%	60.6%	131.2%	143.1%	105.5%	145.3%
Recurring net profit	386	523	404	362	560	819	1,001	795	1,083	1,825
YoY change	65.7%	84.0%	24.1%	45.4%	45.0%	56.6%	147.7%	119.6%	93.5%	122.9%

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Source: Citi Research, Company Reports

Figure 2. Shengyi Tech - quarterly P&L margins and ratios including 2Q26

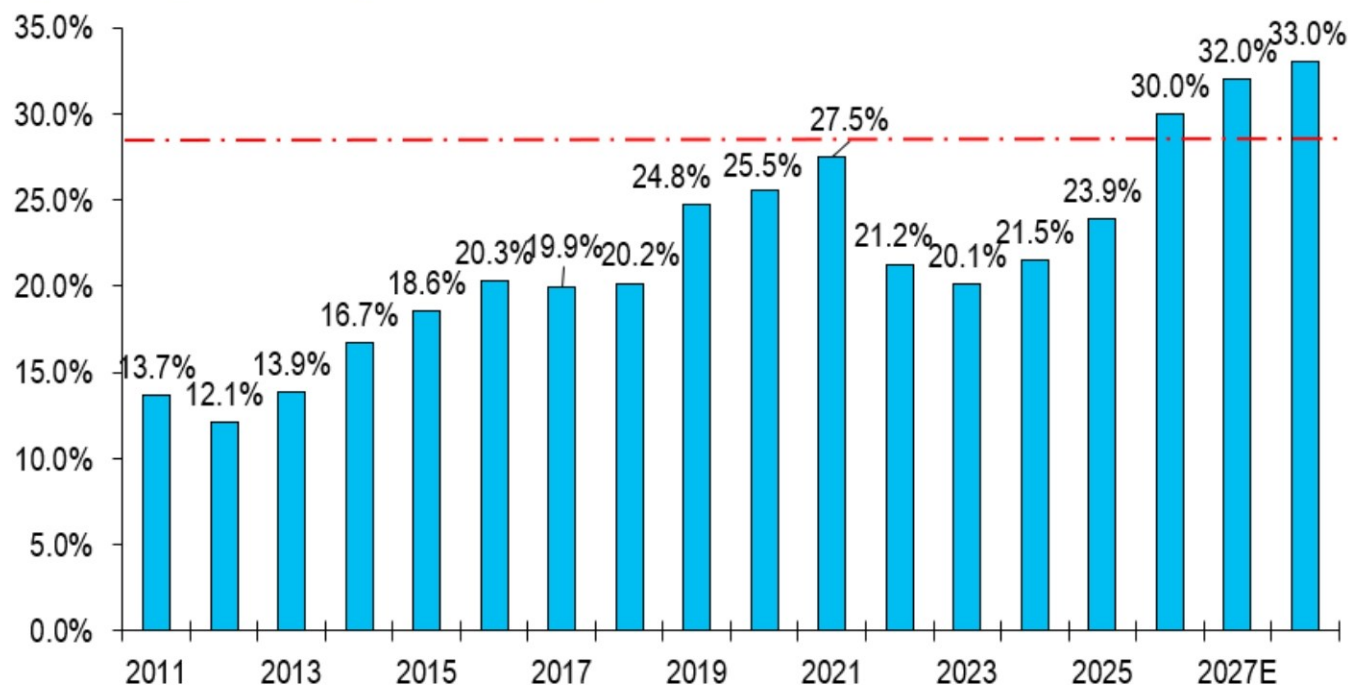
YoY growth	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Revenue	17.8%	26.2%	14.5%	33.1%	26.9%	35.8%	55.1%	38.5%	45.1%	54.0%
Gross profit	27.1%	45.6%	31.2%	60.0%	46.5%	67.4%	90.9%	61.6%	65.7%	87.1%
Operating profit	46.9%	84.0%	16.6%	90.8%	57.6%	86.4%	189.3%	127.4%	106.3%	125.5%
Reported operating profit	66.0%	96.0%	21.5%	99.7%	58.0%	76.4%	146.0%	189.1%	113.0%	139.5%
PBT	65.9%	96.0%	21.5%	98.9%	58.2%	77.3%	145.9%	187.4%	113.0%	138.8%
NP	58.2%	75.9%	27.8%	38.2%	43.8%	60.6%	131.2%	143.1%	105.5%	145.3%
Recurring NP	65.7%	84.0%	24.1%	45.4%	45.0%	56.6%	147.7%	119.6%	93.5%	122.9%

Margins and ratios	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Gross margin	21.3%	21.8%	22.9%	22.1%	24.6%	26.9%	28.1%	25.8%	28.1%	32.6%
Adjusted operating margin	10.0%	11.1%	9.6%	8.6%	12.4%	15.3%	17.8%	14.2%	17.7%	22.4%
Net margin	8.9%	10.4%	8.6%	6.5%	10.0%	12.3%	12.8%	11.4%	14.2%	19.6%
SG&A ratio	10.8%	10.1%	12.8%	12.7%	11.7%	11.0%	9.9%	10.9%	9.9%	9.8%
Tax rate	11.1%	9.7%	9.5%	8.3%	11.6%	11.9%	10.8%	13.2%	12.9%	11.3%

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Source: Citi Research, Company Reports

Figure 3. Shengyi GM of CCL segment will break last peak 27.5% in 2021 thru 33% in 2028E



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Source: Citi Research, Company Reports

Figure 4. Shengyi - forward PE chart



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Source: Citi Research, Company Reports

Figure 5. Shengyi - forward PE chart



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Source: Citi Research, Company Reports

Bull/Bear: Shengyi Technology (600183.SS)

Rmb **240.000**
▲68% Upside

Rmb **205.000**
▲43% Upside

Rmb **120.000**
▼16% Downside



Spread 84pp
Current Price and expected returns (upside/downside) as of 14 Aug 2026



BULL Assumptions

TP is set at Rmb240 for stronger-than-expected AI-CCL demand



BASE Assumptions

TP is set at Rmb205 for 48x PE on 2027E backed by 3-yr EPS CAGR of 55% thru 2028E, implying 0.9x PEG



BEAR Assumptions

TP is set at Rmb120 for worse-than-expected margin expansion pace due to competition

Shengyi Technology

Company description

Listed on SSE in 1998, Shengyi Technology (SYTECH) is now the second-largest copper clad laminate (CCL) mfg with 13% share per Prismark. SYTECH is also the leading supplier of high-frequency CCL for 5G and IoT (Internet of Things) like autonomous driving.

Investment strategy

We have a Buy rating on SYTECH shares. SYTECH is ranked No. 2 globally and should continue to gain more share. The CCL industry seems to be improving on higher utilization rates, and ASPs look set to be on an uptrend, albeit by a modest degree. SYTECH has import substitution of high-frequency and high-speed CCL on 5G and server segments, but this is almost done. Shengyi Tech started to deliver CCL products related to AI servers (likely GB200 series) in Nov 2024 after gaining certification in 2Q24. It looks well positioned to ride both foreign and domestic brand AI-GPU server demand with maiden full-year contribution from 2025E.

Valuation

Our target price for SYTECH of Rmb205 is based on a 48x 2027E PE, +2SD. We employ a PE target multiple at +2SD to reflect Shengyi demonstrating persistent increase of wallet share at NVDA from GB200 to GB300 and further in Vera Rubin. We see continued upside for 2026E-28E backed by rising % of revenue from AI-CCL in coming years. The premium PE target over mean is justified, in our view, based on our 3-year EPS CAGR of 55% over 2025-28E, following a ~24% decline in 2023. Our target PE implies 0.9x PEG which looks comparable with major regional peers. We believe its high PE target over mean is appropriate given: 1) SYTECH's strong track record of winning market share in the global CCL market (from 8% in 2007 to 13% in 2025); 2) SYTECH's technology edge as the first to enter Nvidia AI supply chain among China CCL players; and 3) increasing premium for domestic component sourcing, underpinned by bans preventing dealing with US companies to source components.

Risks

Key downside risks to achieving our target price include: 1) lower-than-expected demand for AI-CCL order, 2) subdued China consumption, and 3) worse-than-expected capex on 5G/IoT products. Key upside risks to achieving our target price include: 1) secure of ASIC-based customers for CCL orders, 2) better-than-expected macro-economic conditions in China, 3) better-than-expected operating margin on higher rev growth due to high operating leverage, and 4) stronger-than-expected AI demand and consumption subsidy.

Shennan Circuit

(002916.SZ; Rmb378.0; 1; 14 Aug 26; 15:00)

Valuation

Our target price for Shennan shares of RMB360 is based on forward 2027E PE target of 38x at +2sd over mean as we roll over from prior 43x PE to 38x PE (at +2SD) following the release of 1Q26 results beat. We employ +2SD over mean for Shennan earnings upcycle under AI-PCB demand. This is backed by 3-yr EPS CAGR of 32% thru 2028E. The company's status is one of the key proxies on AI server and BT substrate – both contributed ~75% of total sales. The PE target reflects the sustained PCB industry upcycle with datacenter server, AI server, EV, etc. during 2026–28E, though the 5G base station installations maintain modest growth in China this year. The start-up loss for new plant for Guangzhou FC-BGA Ph1 took place in 2025 but this would start operate breakeven from 2026 which is about 1yr earlier than prior guidance of 2027. Our target PE of 38x forward equates to a ~20–30% premium to the sector average, which we see as warranted given: 1) Shennan's leading position in the communication PCB sector, enhanced by its SOE background; and 2) the company's technology leadership position on AI-server, communication, datacenters, autos (on ADAS) among peers with the potential to deliver a higher margin on a more advanced technology curve.

Risks

Downside risks that could hinder the shares from reaching to our target price include: 1) Foreign AI server boom and other leading players is slower than expected; 2) weaker-than-expected demand on auto and ADAS system; 3) lower-than-expected profit of BT substrate new plant in Wuxi; and 4) higher-than-expected laminate cost inflation.

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Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by “AC” in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global

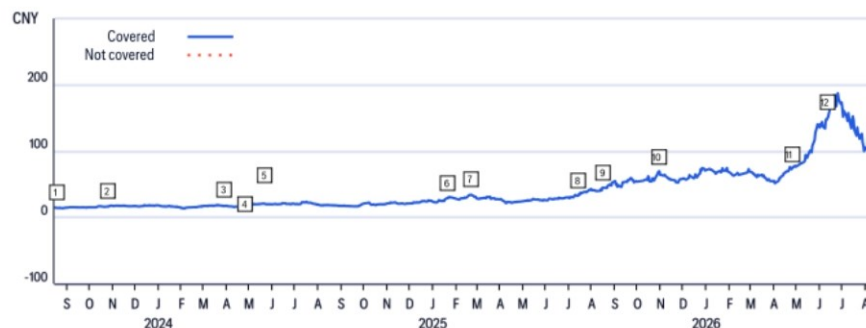
Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

Shengyi Technology (600183.SS)

Ratings and Target Price History
Fundamental Research

Analyst: Eric Lau



	Date	Rating	Target Price	Closing Price
1	18-Aug-23 11:43:29	*3	*12.00	14.45
2	26-Oct-23 16:01:40	*1	*19.00	16.27
3	28-Mar-24 17:00:11	1	*20.00	17.54
4	26-Apr-24 12:34:42	1	*22.50	16.83

*Indicates Change

	Date	Rating	Target Price	Closing Price
5	22-May-24 19:52:26	1	*27.00	20.33
6	20-Jan-25 04:55:26	1	*35.00	29.06
7	20-Feb-25 09:48:03	1	*41.00	33.72
8	14-Jul-25 11:40:03	1	*43.80	32.91

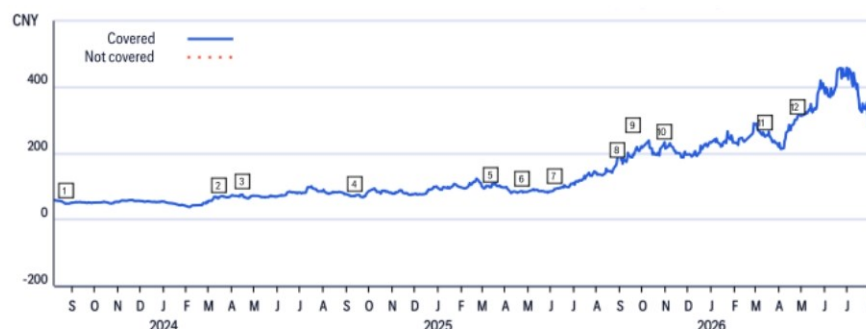
	Date	Rating	Target Price	Closing Price
9	17-Aug-25 18:25:36	1	*60.00	44.83
10	28-Oct-25 11:39:58	1	*83.00	67.39
11	26-Apr-26 19:07:57	1	*96.00	72.63
12	11-Jun-26 09:01:12	1	*195.00	149.73

Rating/target price changes above reflect Eastern Time

Shennan Circuit (002916.SZ)

Ratings and Target Price History
Fundamental Research

Analyst: Eric Lau



	Date	Rating	Target Price	Closing Price
1	23-Aug-23 12:40:58	3	*36.92	47.80
2	14-Mar-24 12:44:06	3	*44.62	64.29
3	15-Apr-24 18:02:05	3	*57.69	75.37
4	12-Sep-24 19:07:57	3	*61.54	70.62

*Indicates Change

	Date	Rating	Target Price	Closing Price
5	12-Mar-25 12:31:10	3	*73.08	97.75
6	23-Apr-25 13:51:13	*1	*103.85	85.15
7	05-Jun-25 06:00:50	1	*103.85	92.42
8	27-Aug-25 18:20:49	1	*201.00	169.50

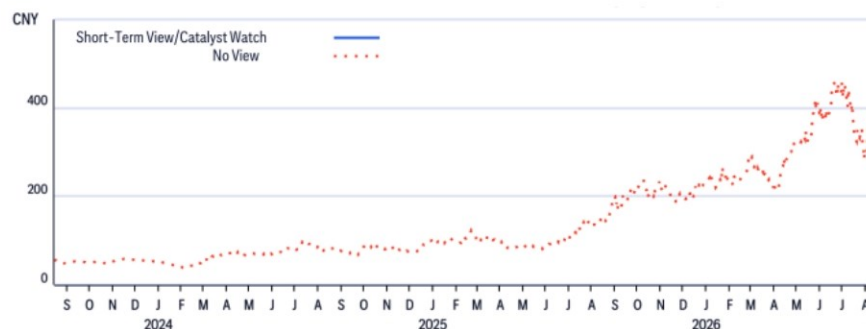
	Date	Rating	Target Price	Closing Price
9	18-Sep-25 12:35:26	1	*230.00	197.47
10	29-Oct-25 12:55:41	1	*281.00	227.80
11	12-Mar-26 16:42:37	1	*320.00	252.61
12	24-Apr-26 13:03:49	1	*360.00	301.36

Rating/target price changes above reflect Eastern Time

Shennan Circuit (002916.SZ)

Short-Term View/Catalyst Watch Research

Analyst: Eric Lau



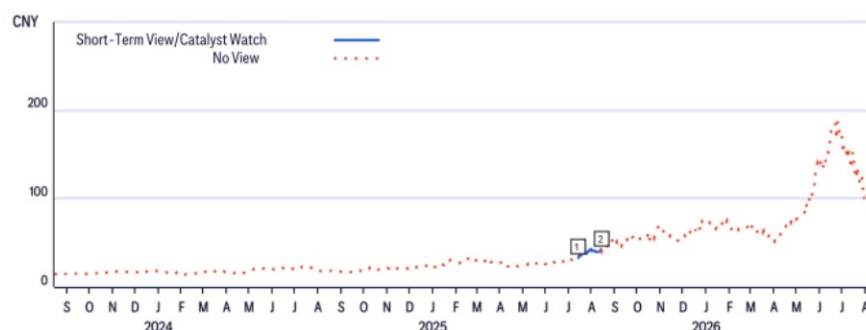
*Indicates Change

Rating/target price changes above reflect Eastern Time

Shengyi Technology (600183.SS)

Short-Term View/Catalyst Watch Research

Analyst: Eric Lau



	Date	Action	Expected Direction	Duration	Closing Price
1	14-Jul-25 07:40:03	Add CW	Upside	30 Days	32.91
2	13-Aug-25 23:05:28	Remove CW	Upside	30 Days	42.62

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%

% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%
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